

2024-25—a mere 2-3%—according to Crisil Intelligence.

Taking into consideration the hurdles, and to address the route sustainability issues, the government announced a modified UDAN earlier this year. Among other measures, it has increased the viability gap funding (VGF) period from three years. Also, the government will support airport operation and maintenance costs for three years at some airports to aid early-stage traffic. It has allocated ₹28,840 crore to connect 120 new destinations and cater to 40 million passengers over the next 10 years. The new scheme transitions from a connectivity-first model to an ecosystem-driven approach focusing on developing aviation infrastructure.

58 | Captain Simran Singh Tiwana, CEO of regional air carrier Star Air, says the modified UDAN framework marks a shift from simply connecting cities to integrating India's most remote geographies into the national aviation network.

"With a substantial outlay of ₹28,840 crore and a long-term vision extending to FY35-36, the modified UDAN Scheme is poised to deepen connectivity across underserved and unserved regions of the country. By focusing on infrastructure development, operational sustainability, and last-mile connectivity, it creates a robust foundation for the next phase of aviation-led economic growth," Tiwana tells *Business Today*.

The reinvention comes at a time when the West Asia conflict has badly impacted the aviation sector, with domestic airlines expected to post huge losses in FY26 due to the adverse operational environment. Higher ATF prices and capacity reduction are adding to their woes. Things are equally challenging

WHAT'S NEW IN UDAN 2.0

Ecosystem development with funds allocated for operation and maintenance of aerodromes

VGF to be extended beyond three years

Supports acquisition of indigenously manufactured aircraft

Focus on connectivity in hilly terrains and northeast region

Development of modern helipads



for regional players, with high air fares expected to hit demand.

WHAT'S NEW

UDAN 1.0 focused on enhancing regional connectivity by incentivising airlines through route-based VGF, fare caps, revival of unserved/underserved airports, and strong emphasis on expanding network reach. VGF is provided to bridge the gap between operational costs and expected revenues on thinner routes.

The modified scheme adopts a more holistic approach. Dedicated allocations towards airport operations and maintenance (9%), development of helipads (13%) for serving underserved and far-off regions, extended VGF support (35%), and acquisition of indigenously manufactured aircraft (1%) to strengthen domestic aircraft manufacturing capabilities, apart from the core initiative of developing airports (42%), lie at the heart of UDAN 2.0.

It is also fully funded by the central government, unlike the earlier phase, where states shared a part of the cost.

The industry had flagged aircraft shortage, supply chain issues, aircraft maintenance, airport/runway maintenance, and low passenger demand on some routes, among others, as bottlenecks in case of UDAN 1.0.

Pushan Sharma, Director, Crisil Intelligence, says UDAN 2.0 marks a pivotal shift in India's regional aviation strategy, moving beyond the initial goal of expanding connectivity to focus on the sector's long-term sustainability.

"While UDAN 1.0 successfully opened unserved and underserved routes through mechanisms like route-based VGF, fare caps, and airport revival, it also exposed